



the output significantly. That is classic efficiency innovation. Due to all the glamour around AI technology, people try to dub it as a disruptive technology. It may work well because of a disruption in the economy, but it is certainly not a disruptive innovation. AI-related products and services are not disruptive innovations. These are efficiency innovations, and as long as businesses understand this difference, they can make appropriate and right decisions.

If you have been wondering which innovation is the best one, the answer is not singular. All types of innovations have a place in business and economy. Having the right balance is important for all of them. The good thing is, when you have cash and jobs released from efficiency innovation, you can turn them towards disruptive innovation. So, while doing efficiency innovation projects in your company, always look for an opportunity to invest and reroute that cash and jobs to disruptive innovation.

Disruptive innovation should closely follow efficiency innovation for economic stability and sustainable growth!

BUSINESSES MUST PROGRESS BEYOND BUSINESS TRANSFORMATION AND START THINKING ABOUT PROBLEM TRANSFORMATION.

The new kind of innovation

The fourth type of innovation, which I mentioned earlier, is different from all the three types we have discussed so far.

Take the case of a car brand such as Volkswagen, BMW, Tata, Maruti, or Tesla. All of them are in the 'What' category. What do they enable you to do? They enable you to commute from place A to place B.

The 'How' part of the commute was changed by Uber, Lyft, Ola, and some others like them. They still enable you to go from place A to place B, but you can now easily hire instead of driving yourself or owning a car.

So, 'what you do' remains the same, but 'how you do it' has changed.

Now, instead of 'What' or 'How,' if you focus on 'Why' your answer will change. When you ask why someone needs to go from place A to place B, it will give you different perspectives and ideas. Knowing 'Why' behind the use of the service or product will help you identify a new product or new positioning, even both.

If you focus on your company's purpose and the value you want to deliver to your customers, your outlook will change. You will ask, "What is my customer trying to achieve?" This approach will make you think deeply about transforming the problem to match it to improve the overall value proposition. If the purpose of travel is to meet colleagues in office and discuss some work with them, you may offer a Zoom or Skype-like solution.

The fact of the matter is, when you attempt to compete with a disruptive innovation using another disruptive innovation, there is little room to wiggle out sustenance. So, most companies trying to do so end up playing a catch-up game with the disruptors.

Change in perspective

While others are going at disruptive innovation, understand the landscape and think: How can you transform the business model, customer problem, or the value proposition of the entire industry itself? How can you pioneer something so transformative that disruptive innovation becomes irrelevant?

When you start to think about tomorrow and over-morrow, that is, the day after tomorrow, your strategy changes radically. For most businesses, digital transformation is overdue; I suggest you get over with it. However, all the others need to understand that it is not the end. You must progress beyond it and start thinking about problem transformation.